AuditAI Sample Reference Guide

A condensed reference for testing the AuditAI semantic search engine. Try asking questions using different vocabulary than the headings below — this is what semantic search is for.

1. Materiality in Financial Statement Audits

Materiality is the threshold above which missing or incorrect information in financial statements is considered to have an impact on the decision-making of users. Auditors set materiality during planning and may revise it as the audit progresses.

Common Benchmarks for Calculating Materiality

- **5% of profit before tax** — most common for profit-oriented entities
- **0.5% to 1% of total revenue** — useful when profits are volatile
- **1% to 2% of total assets** — common for asset-heavy businesses
- **1% of net assets** — used for not-for-profit entities

Performance materiality is set lower than overall materiality (typically 50%-75%) and is the amount used to determine the nature, timing, and extent of audit procedures at the assertion level. **Clearly trivial** misstatements — usually below 5% of overall materiality — are not accumulated.

2. Risk Assessment Procedures

Under ISA 315 (Revised), the auditor identifies and assesses the risks of material misstatement through understanding the entity and its environment, including the entity's system of internal control. Risks are assessed at both the financial-statement level and the assertion level.

Required Risk Assessment Procedures

- Inquiries of management, those charged with governance, and others
- Analytical procedures comparing recorded amounts to expectations
- Observation and inspection of the entity's operations, records, and controls
- Discussion among the engagement team on the susceptibility to material misstatement

Significant risks require special audit consideration and always include risks of fraud, risks related to recent significant economic or accounting developments, and risks involving complex transactions or significant judgment.

3. Internal Control Components (COSO Framework)

The COSO Internal Control - Integrated Framework defines five interrelated components that together provide reasonable assurance regarding the achievement of objectives.

- **Control Environment** — tone at the top, ethical values, governance structure
- **Risk Assessment** — identification and analysis of relevant risks
- **Control Activities** — policies and procedures to mitigate risk (e.g., authorizations, reconciliations, segregation of duties)
- **Information and Communication** — capturing and exchanging information needed to run controls
- **Monitoring Activities** — ongoing evaluations to ascertain controls are functioning

A **deficiency in internal control** exists when a control is missing or fails to operate effectively. A **material weakness** is a deficiency, or combination of deficiencies, such that there is a reasonable possibility that a material misstatement will not be prevented or detected on a timely basis.

4. Audit Evidence and Sample Size Determination

Audit evidence must be sufficient (quantity) and appropriate (quality — relevance and reliability) to support the auditor's opinion. Evidence obtained directly by the auditor and from independent external sources is the most reliable.

Factors Increasing Required Sample Size

- Higher assessed risk of material misstatement
- Lower tolerable misstatement (i.e., tighter precision)
- Greater expected misstatement in the population
- Larger population size (only moderately increases sample size)
- Lower acceptable level of detection risk

Sampling risk is the risk that the auditor's conclusion based on a sample is different from the conclusion if the entire population were examined. **Non-sampling risk** arises from factors unrelated to sampling, such as misinterpreting evidence or using inappropriate procedures.

5. Going Concern Assessment

The auditor evaluates management's assessment of the entity's ability to continue as a going concern for a period of at least twelve months from the date of the financial statements. ISA 570 (Revised) governs these procedures.

Common Indicators of Going Concern Doubt

- Net liability or net current liability position
- Fixed-term borrowings approaching maturity without realistic prospects of renewal
- Negative operating cash flows indicated by historical or prospective financial statements
- Adverse key financial ratios
- Substantial operating losses or significant deterioration in the value of assets
- Loss of a major market, key customers, franchise, licence, or principal supplier
- Pending legal or regulatory proceedings against the entity

Where a **material uncertainty** exists that may cast significant doubt on the entity's ability to continue as a going concern and adequate disclosure is made, the auditor expresses an unmodified opinion and includes a separate section headed "Material Uncertainty Related to Going Concern" in the audit report.

6. The Auditor's Responsibilities Regarding Fraud

ISA 240 deals with the auditor's responsibilities relating to fraud in an audit of financial statements. The primary responsibility for the prevention and detection of fraud rests with management and those charged with governance.

The Fraud Triangle — Three Conditions Often Present

- **Incentive or Pressure** — financial stress, aggressive targets, personal financial difficulties
- **Opportunity** — weak controls, override of controls by management, complex transactions with related parties
- **Rationalisation** — attitudes or ethical values that allow individuals to justify committing a dishonest act

Two Categories of Fraud Relevant to the Audit

- **Fraudulent financial reporting** — intentional misstatements or omissions of amounts or disclosures to deceive financial statement users
- **Misappropriation of assets** — theft of cash, inventory, or intellectual property by employees or management

The auditor maintains **professional skepticism** throughout the audit, recognising the possibility that a material misstatement due to fraud could exist, notwithstanding past experience with the integrity of management.

7. Revenue Recognition Under IFRS 15 / ASC 606

Revenue is recognised when control of a good or service transfers to the customer. The five-step model below applies to most contracts with customers.

- **Step 1** — Identify the contract(s) with a customer
- **Step 2** — Identify the performance obligations in the contract
- **Step 3** — Determine the transaction price
- **Step 4** — Allocate the transaction price to the performance obligations
- **Step 5** — Recognise revenue when (or as) each performance obligation is satisfied

Common audit risks in revenue recognition include cut-off errors near period-end, bill-and-hold arrangements, channel stuffing, side letters that modify contract terms, and complex variable consideration estimates such as rebates and refunds.

8. Subsequent Events Review

Events occurring between the date of the financial statements and the date of the auditor's report must be reviewed under ISA 560. There are two types:

- **Adjusting events** — provide evidence of conditions that existed at the balance sheet date and require adjustment to the financial statements (e.g., settlement of pre-existing litigation, bankruptcy of a major customer indicating that a receivable was already impaired)
- **Non-adjusting events** — indicate conditions that arose after the balance sheet date and require disclosure only if material (e.g., a major business combination after year-end, a natural disaster destroying a significant asset)

Procedures include reading minutes of meetings of shareholders and those charged with governance, reviewing interim financial statements, inquiring of legal counsel, and obtaining a written representation from management about subsequent events.

9. Types of Audit Opinions

- **Unmodified (Clean) Opinion** — financial statements present fairly in all material respects in accordance with the applicable framework
- **Qualified Opinion** — except for the matter described, the financial statements present fairly. Used when misstatements are material but not pervasive, or when sufficient appropriate evidence cannot be obtained but the possible effects are limited
- **Adverse Opinion** — the financial statements do not present fairly. Used when misstatements are both material and pervasive
- **Disclaimer of Opinion** — the auditor does not express an opinion. Used when the auditor cannot obtain sufficient appropriate audit evidence and the possible effects could be both material and pervasive

End of sample reference guide. This document was generated for testing the AuditAI semantic search engine. Try questions like: "How do you calculate materiality?", "What is the fraud triangle?", "How big should my sample be?", "What's the difference between adjusting and non-adjusting events?", "When should I issue a qualified opinion?"